UNITED STATES BANKRUPTCY COURT
DISTRICT OF CONNECTICUT
BRIDGEPORT DIVISION

In re: HO WAN KWOK, et al., Debtors.	Chapter 11 Case No. 22-50073 (JAM) (Jointly Administered)
LUC A. DESPINS, CHAPTER 11 TRUSTEE, Plaintiff, v. PILLSBURY WINTHROP SHAW PITTMAN LLP, Defendant.	Adv. Pro. No. 24-05014 (JAM) Dated: April 22, 2024

MEMORANDUM OF LAW IN SUPPORT OF DEFENDANT PILLSBURY WINTHROP SHAW PITTMAN LLP'S MOTION TO DISMISS THE COMPLAINT

ORAL ARGUMENT REQUESTED

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Defendant Pillsbury Winthrop Shaw Pittman LLP ("Pillsbury"), by and through its undersigned counsel, submits this memorandum of law in support of its motion to dismiss the complaint [Docket No. 1, "Compl."] filed by Plaintiff Luc A. Despins, in his capacity as the Debtor's chapter 11 trustee (the "Trustee"), pursuant to Rule 12(b) of the Federal Rules of Civil Procedure (as incorporated by Rule 7012 of the Federal Rules of Bankruptcy Procedure) ("Rule 12"). In support of the motion, Pillsbury states as follows:

PRELIMINARY STATEMENT

1. Shortly after his appointment, the Trustee served a subpoena with broad Rule 2004 discovery requests on G Club Operations LLC ("G Club"). G Club, in the ordinary course, retained Pillsbury to represent it in connection with the subpoena and any related court proceedings, and Pillsbury entered a notice of appearance on June 6, 2023. (Chapter 11 Docket No. 1884.) At no point did the Trustee, the Court, or any other party in interest suggest that Pillsbury, as counsel to a non-debtor third party, was required to file a retention application or seek Court approval of its fees pursuant to sections 327 and 330, or any other section, of the Bankruptcy Code. Any such suggestion would have been nonsensical, as these provisions plainly apply only to professionals retained by estate representatives. Nevertheless, by this action, the Trustee seeks to avoid, pursuant to 11 U.S.C. § 549, $1,599,822.93 of payments G Club made to Pillsbury as compensation for its legal work on the basis that the payments were "postpetition transfers of estate property [that] were not authorized." (Compl. ¶ 3.)

2. Although G Club is not a debtor, the Trustee contends that it is an alter ego of Mr. Kwok, one of the Debtors in these cases, and that, as such, its assets are "property of the estate" retroactive to the date of the Debtor's Petition, unburdened by G Club's liabilities. The Trustee's legal theory is critically flawed, however, for a number of reasons, including:

a. Under Puerto Rico law, which governs the alter ego analysis here, an alter ego remedy merely makes the alter ego vicariously liable for the debtor's debts once a judgment against the debtor is obtained and a determination of alter ego with the non-debtor is made. It does not give the debtor an ownership interest in the alter ego's assets. Thus,

even if the Trustee prevails in establishing that G Club is the Debtor's alter ego, an alter ego remedy would not transform G Club's assets into property of the Debtor's estate. The Trustee has no basis to recover G Club's payments to Pillsbury under section 549 of the Bankruptcy Code.

b. Even if an alter ego remedy could consolidate G Club's assets with those of the Debtor, the complaint fails to allege non-conclusory facts that, if proven, would establish the Trustee's entitlement to the requested relief at all or with retroactive effect. The complaint does not plead facts relevant to any of the eleven factors that courts applying Puerto Rico law consider in determining whether to pierce a corporate veil. Instead, it simply states, in conclusory fashion, that G Club was the Debtor's "personal piggy-banks." (Compl. ¶ 16.) The Trustee attempts to overcome this deficiency by purporting to incorporate by reference a complaint from an action against G Club that he "will imminently commence," but Federal Rule of Bankruptcy Procedure 7010 (incorporating Federal Rule of Civil Procedure 10(c)) only permits incorporation of allegations from prior filed pleadings.

c. Although the Trustee does not explicitly seek an order substantively consolidating the Debtor and G Club in this or any subsequently filed complaint against G Club, the relief sought in this complaint seeks to treat G Club's assets as if they were substantively consolidated with the Debtor's assets. But the facts pled in the complaint do not establish a basis for substantive consolidation. Among other deficiencies, the Trustee fails to explain how an order deeming G Club's assets to be assets of the estate would promote the "sole purpose" of substantive consolidation, which is "to ensure the equitable treatment of all creditors." On the contrary, the Trustee's express objective, to recover payments made to creditors of G Club and redistribute the funds to creditors of the Debtor, would do just the opposite.

3. In sum, the Trustee misapplies the term "alter ego" to encompass concepts such as veil piercing, reverse veil piercing, vicarious liability and (partial) substantive consolidation

trying to obtain relief that none of these theories (even if they were adequately pled) provide, making G Club's assets the Debtor's assets as of the Petition Date, such that non-debtor G Club's "post-petition" payment of its expenditures required pre-approval by the Court under section 549 of the Bankruptcy Code.

4. The Trustee's suit against Pillsbury is part of a series of fraudulent transfer, preference and post-petition transfer actions filed against service providers, the providers of goods and every law firm that represents, or has represented, one of the many companies the Trustee believes to be an alter ego of Mr. Kwok. These actions were filed shortly before the Trustee commenced a series of larger, far more significant lawsuits against the underlying clients of these law firms, which collectively seek several hundred million dollars in damages.

5. The Court should put a quick end to the Trustee's gambit and dismiss the complaint with prejudice.

FACTS PLED IN THE COMPLAINT

6. The Trustee's complaint is only eight pages long. A material portion of those eight pages is devoted to summarizing procedural posture and characterizing the nature of other proceedings before this Court. (See, e.g., Compl. ¶¶ 14-15 (asserting that "the trustee has commenced a number of adversary proceedings" and purporting to summarize "[t]he fact patterns in these [other] litigations")). The allegations against Pillsbury are mapped out in just a few sentences in the complaint.

7. The complaint alleges that G Club "transferred funds in the amount of $1,599,822.93 after the Petition Date . . . to the Defendant as initial transferee" (Compl. ¶ 2) and that "GClub [sic] is one of numerous alter ego shell companies used by the Debtor to defraud his creditors." (Id. ¶ 13.) The complaint does not present any facts relevant to a determination as to whether G Club is in fact an alter ego of the Debtor. Instead, it asserts that "[t]he Trustee has or will imminently commence an adversary proceeding against GClub, which adversary proceeding seeks, among other things, a declaratory judgment that GClub was the alter ego of the Debtor." (Id. ¶ 13 n.13.)

8. From these allegations, the Trustee asks the Court to conclude that G Club is the Debtor's alter ego and that "[a]s of the Petition Date [of these chapter 11 cases], all of the Debtor's property held through his alter egos, including GClub [sic] became property of the Debtor's chapter 11 estate." (Id. ¶ 17.) These conclusory statements are all that support the complaint's single count, which seeks to avoid G Club's $1,599,822.93 payment to Pillsbury pursuant to section 549 of the Bankruptcy Code. (Id. ¶¶ 23-29.)

APPLICABLE LEGAL STANDARD

9. "Rule 12(b)(6) authorizes a court to dismiss a claim on the basis of a dispositive issue of law." *Neitzke v. Williams*, 490 U.S. 319, 326 (1989). Claims will only survive if the plaintiff alleges facts sufficient "to state a claim to relief that is plausible on its face." *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim is facially plausible "when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009). In deciding whether a plaintiff has made this showing, a court should disregard "legal conclusions" and "conclusory statements." *Id.*

ARGUMENT

I. The Trustee's Alter Ego Theory Cannot Transform G Club's Property Into Property of the Debtor's Estate

10. Section 549 of the Bankruptcy Code provides that "the trustee may avoid a transfer of property of the estate that occurs after the commencement of the case." 11 U.S.C. § 549(a)(1). The transfers in this case were made by G Club, which is not a debtor. The Trustee asserts, however, that G Club was the Debtor's alter ego and that "all of the Debtor's property held through his alter egos . . . became property of the Debtor's chapter 11 estate." (Compl. ¶ 17.) The Trustee's theory is mistaken.

11. Alter ego, properly applied, is not a valid cause of action or catch all that transforms a non-debtor's assets into the assets of the debtor. It is a collection remedy that allows creditors of the debtor to try to collect their debts from the alter ego. This paradigm defeats any

claim that the transfer by G Club (the alleged transferor in the complaint), an entity incorporated under Puerto Rico law, to Pillsbury is a transfer by the Debtor, because under Puerto Rico law, there is no combining of assets on a finding of alter ego, or on a finding that the corporate veil will be pierced to permit claims against a corporate entity to be collected from a related owner.

12. There are two general approaches to veil piercing, to establishing the right to an alter ego remedy. Courts in some jurisdictions apply the "identity approach," under which "piercing the corporate veil expands the debtor's estate to include the property of its alter ego by deeming a corporation and its alter ego to be a single entity." *See, e.g., In re Howland*, 674 F. App'x 482, 486 (6th Cir. 2017).

13. However, the more prevalent approach "employs veil piercing as a form of vicarious liability, shifting liability from the debtor to its alter ego." *Id.* Under this approach, "[t]he doctrine of alter ego does not create assets for or in the corporation. It simply fastens liability upon the individual who uses the corporation merely as an instrumentality in the transaction." *Id.* (citations omitted).

CONCLUSION

14. For the foregoing reasons, the Trustee's complaint should be dismissed with prejudice.

RESPECTFULLY SUBMITTED,

GREEN & SKLARZ LLC
/s/ Jeffrey M. Sklarz
Jeffrey M. Sklarz (ct20938)
Kellianne Baranowsky (ct26684)
One Audubon St, 3rd Floor
New Haven, CT 06511
Tel: 203-285-8545
jsklarz@gs-lawfirm.com
kbaranowsky@gs-lawfirm.com

PILLSBURY WINTHROP SHAW PITTMAN LLP
/s/ Andrew Troop
Andrew Troop (pro hac vice pending)
Carolina A. Fornos (admitted pro hac vice)
Rahman Connelly (pro hac vice pending)
31 West 52nd Street
New York, NY 10019
Telephone: 212-858-1000
andrew.troop@pillsburylaw.com
carolina.fornos@pillsburylaw.com
rahman.connelly@pillsburylaw.com